

GNIOT Institute of Management Studies – PGDM (Batch 2024-26)**(TRIMESTER –I) END TERM EXAMINATION, OCTOBER -2024****Financial Accounting****[Time: 2 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: - Financial Accounting**

CO	Course Outcome (CO)
CO1	Understand and apply accounting concepts, principles and conventions for their routine monetary transaction.
CO2	Create and prepare financial statements and Cash flow in accordance with Generally Accepted Accounting Principles.
CO3	Analyse, interpret and communicate the information contained in basic financial statements and explain the limitations of such statements.

(Note- Faculty can add the more CO's as per their subject.)**SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 150- 200 words)**

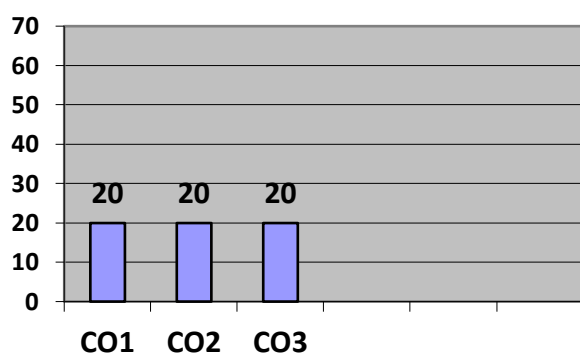
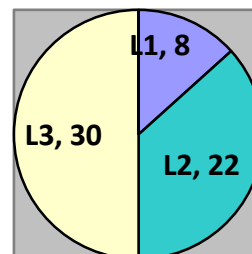
Q.1	Marks	COURSE OUTCOME	BLOOMS LEVEL
(A)	4	CO – 1	BL-1
(B)	4	CO – 1	BL-2
(C)	4	CO – 1	BL-2
(D)	4	CO – 1	BL-2
(E)	4	CO – 1	BL-1

SECTION-B**Attempt ANY TWO questions out of the following: (Long Answer Type Questions, do not exceed 300- 400 words)**

Q. No	Marks	COURSE OUTCOME	BLOOMS LEVEL
2 (A)	10	CO – 2	BL-2
2 (B)	10	CO – 2	BL-2
3 (A)	10	CO – 2	BL-3
3 (B)	10	CO – 2	BL-3

SECTION-C**Attempt all parts of the following: (Caselet / Numerical, do not exceed 300- 400 words)**

Q.4	Marks	COURSE OUTCOME	BLOOMS LEVEL
4 (A)	10	CO – 3	BL-3
4 (B)	10	CO - 3	BL-3

Course Outcome Wise Marks Distribution**L1 L2 L3****Bloom's Level wise Marks Distribution**

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GNIOT Institute of Management Studies – PGDM (Batch 2024-26)**(TRIMESTER – I) END TERM EXAMINATION, OCTOBER - 2024****FINANCIAL ACCOUNTING****[Time: 2 Hours]****[Maximum Marks: 60]****INSTRUCTIONS:**

- (i) **There are THREE sections in this question paper.**
(ii) **Attempt questions from each section as per the directions.**
(iii) **Make suitable assumptions wherever necessary.**

SECTION-A**(Short Answer Type Questions, do not exceed 200 words)****Q.1. Attempt all parts of the following:****(5×4=20)**

- (a) What are final accounts?
(b) Explain the evolution of accounting.
(c) Assess the importance of adjustment entries in final accounts.
(d) Distinguish between Journal and Ledger.
(e) What items are included in investing activity of cash flow?

SECTION-B**(Long Answer Type Questions)****Q.2. Attempt all questions of the following****(2X10=20)**

- (a) Accounting concepts acts as guidelines to accountant in preparing the accounts.” Explain the statement in the light of Various accounting concepts

OR

- (b) Write Journal entries from the following transactions in the month of January:

- On 1st January 2024: Himanshu Chauhan started his business with a capital investment of ₹1,50,000 in cash, purchased furniture worth ₹10,000, and goods worth ₹60,000.
- On 5th January 2024: Sold goods to Partap with a list price of ₹20,000 at a 10% trade discount.
- On 8th January 2024: Partap returned goods with a list price of ₹2,000.
- On 10th January 2024: Received ₹16,000 from Partap in full settlement of his account.
- On 15th January 2024: Purchased furniture for ₹12,000.
- On 18th January 2024: Purchased goods from Sahdev with a list price of ₹50,000 at a 12% trade discount.
- On 18th January 2024: Returned goods to Sahdev worth ₹4,000 (list price).
- On 20th January 2024: Cleared the account of Sahdev by paying cash at a 5% cash discount.
- On 21st January 2024: Sold goods to Aakriti with a list price of ₹20,000 and to Shikha with a list price of ₹32,000.
- On 24th January 2024: Received ₹19,600 from Aakriti in full settlement of her account. Paid an insurance premium of ₹1,500.
- On 25th January 2024: Paid ₹2,400 for insurance premium for the proprietor.
- On 26th January 2024: Purchased goods for ₹16,000, receiving a 10% trade discount and a 2% cash discount for cash payment.
- On 27th January 2024: Received full payment from Shikha, granting a 5% cash discount.
- On 28th January 2024: Paid ₹2,000 for advertisement, ₹8,000 for salaries, and ₹1,600 for rent.
- On 30th January 2024: Received commission of ₹1,000.

Q.3. (a) The following balances are extracted from the books of Ms. Maria Waseem, Prepare Trial Balance as on 30.6.22:

Owner's Equity Rs. 470,200	Machinery Rs. 158,800	Cash in hand Rs. 6,000
Account receivable Rs. 48,000	Building Rs. 320,000	Repairs Rs. 5,400
Stock Rs. 33,000	Insurance premium Rs. 3,300	Account payable Rs. 26,000
Sales Rs. 290,000	Commission Rs. 750	Telephone charges Rs. 6,450
Rent & Taxes Rs. 6,300	Furniture Rs. 11,000	Purchases Rs. 165,000
Discount earned Rs. 1,100	Loan from Sidra Rs. 51,000	Salaries Rs. 70,600
Reserve fund Rs. 5,900	Discount allowed Rs. 650	Note receivable Rs. 8,600
Drawings Rs. 5,000	Bad debts Rs. 1,350	Bills payable Rs. 6,000

OR

- (b) Analyse the various types of financial ratios used in ratio analysis. Explain how solvency ratios, profitability ratios, activity ratios, and liquidity ratios are calculated and what they reveal about a company's financial health.

SECTION-C

Q.4. Attempt all parts of the following:

(2×10=20)

- 4(a)** From the Trial Balance of Sh. Rama Nand Sagar, Prepare Trading and Profit & Loss Account.
For the Year ended 31st March, 2019 and a Balance Sheet as at that date:-

Dr. Balance	Rs.	Cr. Balance	Rs.
Opening stock	20,000	Sales	2,70,000
Purchases	80,000	Purchase Return	4,000
Sales Return	6,000	Discount	5,200
Carriage Inwards	3,600	Sundry Creditors	25,000
Carriage Outwards	800	Bills Payable	1,800
Wages	42,000	Capital	75,000
Salaries	27,500		
Plant & Machinery	90,000		
Furniture	8,000		
Sundry Debtors	52,000		
Bills Receivable	2,500		
Cash in Hand	6,300		
Traveling Expenses	3,700		
Lighting (Factory)	1,400		
Rent & Taxes	7,200		
General Expenses	10,500		
Insurance	1,500		
Drawings	18,000		
	3,81,000		3,81,000

Adjustments:

1. Stock at the end Rs 24,000
2. wages outstanding Rs 3000
3. Salaries outstanding Rs 2500
4. Prepaid Insurance Rs 300
5. Depreciation on Plant and Machinery at 5% and on Furniture at 20%

- 4(b)** from the following information calculate:

- (i) Operating ratio (ii) Inventory Turnover ratio (iii) Return on capital employed (iv) Liquid Ratio

Opening Inventory	500000
Fixed Assets	525000
Cost of Revenue from operations	1800000
Net Revenue from operations	3000000
Operating expenses	480000
Interest charges	180000
Current Liabilities	600000
Current Assets	975000
Closing Inventory	700000